

The Human-AI Partnership Framework

Where human judgment belongs

Treasury & Risk

PCF 9.7 — Cash, debt/investment, hedging & fraud/dispute — Value Stream Profile

This value stream comprises one APQC PCF process group: 9.7 Manage Treasury Operations — spanning 6 Level 3 processes and 38 Level 4 activities, PCF 9.0's second-largest value stream by both measures, behind Record-to-Report.

At the activity level, this value stream's work breaks down as 20 Transaction activities, 14 Knowledge activities — the highest concentration of any PCF 9.0 value stream — 2 Document activities, 1 Decision activity, and 1 Exception activity.

At M3 (HITL Design Intent), the value stream's aggregate human-involvement ratio is 54%, down from a 75% undesigned baseline — a 21-point AI convergence opportunity, tied with Acquire-to-Retire as the shallowest in PCF 9.0.

L3 PROCESSES 6	L4 ACTIVITIES 38	M1 BASELINE H% 75%	M3 DESIGN INTENT H% 54%	Δ M1 → M3 -21%
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KPIs

Business Impact Metric & Formula (where confirmed)	Source
Cash forecast accuracy $1 - \text{Forecasted cash position} - \text{Actual cash position} \div \text{Actual cash position, at the 30-/90-day horizon}$	AFP (Association for Financial Professionals)
Bank fee ratio $\text{Total banking fees} \div \text{average daily cash balance under management}$	AFP (Association for Financial Professionals)
Hedge effectiveness ratio $\% \text{ of hedge positions meeting effectiveness-testing criteria under the designated hedge accounting method}$	GARP (Global Association of Risk Professionals)
Liquidity coverage margin $\text{Available committed liquidity} \div 12\text{-month projected cash outflow under a stress scenario}$	AFP (Association for Financial Professionals)

Design Narrative

Treasury & Risk is VP Treasury's stream in the same way Order-to-Cash is Director of Accounting's: Accountable for 5 of the stream's 6 L3s — treasury policy (9.7.1), cash management (9.7.2), in-house banking (9.7.3), debt and investment (9.7.4), and risk/hedging (9.7.5) — with only financial fraud/dispute case management (9.7.6) carved out to Internal Audit Manager as a compliance-investigation specialty. Despite VP Treasury holding Executive tier and Accountable ownership of the stream's own policy-setting L3 (9.7.1), this value stream classifies Operational rather than Strategy: the work itself — cash positioning, in-house banking, debt/investment execution, and hedge transactions — is treasury operations, not strategy formation, the same reasoning that keeps PCF 8.0's CISO-owned Risk-to-Resilience in Enablement rather than Strategy. This is PCF 9.0's second-largest value stream by L3 count (6, behind Record-to-Report's 7) and by activity count (38, behind Record-to-Report's 42), with the domain's highest concentration of Knowledge-pattern work (14 of 38 activities) — cash-flow forecasting, banking-relationship management, and hedging strategy all demand financial judgment that resists pure automation. Its steepest AI-absorption opportunity sits in 9.7.1.2 (Establish and publish treasury policies, Document-pattern, -32 points).

AI Capability Map

Pattern-type distribution across this value stream's activity units. H% figures are the pattern type's standard value at each maturity level, applied consistently across all PCF domains.

Decision <i>Judgment & Authority — gates that stay human by design</i> 1 L4 activities M1 92% → M3 80%	Knowledge <i>Synthesis & Interpretation — judgment-driven work</i> 14 L4 activities M1 85% → M3 65%	Document <i>Content Generation — drafting and communication</i> 2 L4 activities M1 72% → M3 40%	Transaction <i>Rules-Based Processing — suited to automation</i> 20 L4 activities M1 60% → M3 35%	Exception <i>Non-Standard Resolution — human-resolved by nature</i> 1 L4 activities M1 95% → M3 82%
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Process Accountability

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Process Accountability	Tier	L3 Processes	L4 Activities
VP Treasury	Executive	9.7.1, 9.7.2, 9.7.3, 9.7.4, 9.7.5	37
Internal Audit Manager	Managerial	9.7.6	1

Handoff Points

Treasury & Risk opens with VP Treasury-accountable policy setting and governance scope (9.7.1), then runs cash management (9.7.2) and in-house banking (9.7.3) as the stream's core daily-operations lane.

Debt and investment management (9.7.4) and risk/hedging (9.7.5) run as VP Treasury's higher-judgment lane — managing liquidity, issuer exposure, and hedge strategy — consuming market data and cash-position outputs from the operations lane.

Financial fraud and dispute case management (9.7.6) is the stream's one carve-out to Internal Audit Manager, engaged whenever a cash, banking, or payment-fraud exception surfaces from any of VP Treasury's other four lanes.

Governed Decision Points

Every Decision/Exception-pattern activity in the value stream, including those embedded inside Mixed-labeled steps.

PCF	Decision	Authority	Impact	Escalates To	Trigger
9.7.2.8	Analyze, negotiate, resolve, and confirm bank fees	Treasury Manager	Financial — commits to negotiated banking-relationship terms	VP Treasury (Executive)	Fee dispute or renegotiated terms exceed Treasury Manager's standing authority or affect an enterprise banking relationship
9.7.6	Manage financial fraud/dispute cases	Internal Audit Manager	Financial + Compliance — contains exposure from suspected fraud or a disputed transaction	CFO (Executive)	Suspected fraud is confirmed or dispute value exceeds Internal Audit Manager's standing resolution authority

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